

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,

COMPLAINANT,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED
AND OOCL (EUROPE) LTD.

RESPONDENTS.

**COMPLAINANT SAMSUNG ELECTRONICS AMERICA,
INC.'S REPLY TO RESPONDENTS' RESPONSE TO
MOTION TO DISMISS RESPONDENTS' COUNTERCLAIM**

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, respectfully submits this Reply to Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”)’s Response to Complainant’s Motion to Dismiss OOCL’s counterclaim under 46 U.S.C. § 41102(a).

ARGUMENT

As set out in detail in the Motion to Dismiss (the “Motion”), OOCL has failed to plead sufficient factual allegations – let alone the particularized allegations required by Federal Rule of Civil Procedure 9(b) – to support its counterclaim against SEA. OOCL’s Opposition to the Motion fails to address that fatal deficiency with its counterclaim. Nor does OOCL’s Opposition

meaningfully address the equally fundamental defect that its counterclaim targets SEA conduct that is protected by the *Noerr-Pennington* doctrine.

A. OOCL ignores the Commission’s pleading requirements.

The Motion explained that to plead a violation of Section 41102(a) a claimant must plead facts supporting three elements: (1) knowing and willful conduct; (2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” (3) the party obtained or attempted to obtain ocean transportation at lesser rates. *OC Int’l Freight, Inc.*, FMC Dkt. No. 12-01, 2014 WL 5316336, at *4, (FMC July 31, 2014).

OOCL’s opposition simply ignores these pleadings requirements for its Shipping Act counterclaim. OOCL sets out the allegations on which it relies – twice¹ – but does not identify a single factual allegation that SEA acted knowingly and willfully by any unjust or unfair device or means, or obtained ocean transportation. Instead, OOCL’s Opposition sets out at length its argument with SEA’s complaint in this matter. That argument boils down to the contention that “store-door” terms under which the shippers of various cargoes for which SEA was the consignee did not require delivery to the destination stated in the bills of lading when the shipper or consignee exercised their right to nominate a trucker. OOCL Opp. at pp. 9-12.

OOCL’s challenge to the heightened pleading standards under Federal Rule of Civil Procedure 9(b) for allegations of fraudulent conduct is unsupported by any legal authority and simply ignores the multiple precedents cited in the Motion. OOCL Opp. at pp. 8-9. As referenced in the Motion, Commissioner Khouri noted in an earlier case that “as a matter of fundamental fairness,” a complaint under Section 41102(a) must be plead with sufficient particularity in

¹ OOCL’s Opposition summarizes its “alleged facts” at pp.2-5, and again at 9-10.

conformity with FRCP 9(b).” *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc. et al*, 2011 WL 7144008, at *35, 38 (Commissioner Khouri, concurring in part, dissenting in part).

B. OOCL’s admits that its Counterclaim is based on SEA’s mere filing of a Complaint with the Commission.

OOCL then explains that the gravamen of its Counterclaim is that SEA’s Complaint to the Commission – that the imposition of detention and demurrage charges by OOCL in connection with containers shipped on store-door terms constituted an unjust and unreasonable practice in violation of the Shipping Act – was an “artifice” to recoup those charges, akin to cancelling a check for freight payment after the shipment was delivered. OOCL Opp. at pp. 7-8.

OOCL cites no authority for the far-fetched contention that seeking reparations in a complaint proceeding before the Commission is somehow unjust, unfair, or bad faith. The contention that SEA’s exercise of its rights under the Shipping Act is analogous to cancelling a check is also factually inapt.

As set out more fully in the Amended Complaint, OOCL demanded that SEA pay demurrage and/or detention charges as a condition to release cargo from intermodal terminals, notwithstanding the applicable store-door terms under the bills of lading. Through that practice, OOCL ultimately extorted approximately \$12.5 million from SEA and compelled SEA to incur additional expenses of approximately \$1.3 million. OOCL has had those funds in hand ever since.

Even giving OOCL the benefit of the doubt in connection with the allegations of its Counterclaim, it has failed to allege anything beyond the above-mentioned disagreement over the meaning of “store-door” terms and SEA’s exercise of its rights under the Shipping Act. As set forth below, the exercise of the right to seek redress through a lawful proceeding cannot serve as the basis for a claim.

C. OOCL has no response to the precedent of the *SM Line* case.

OOCL has no response to the precedent directly on point as cited in the Motion, *Samsung Electronics America v. SM Line Corp.*, Dkt. No. 23-01, p. 3, Order Denying Motion for Leave to File Third Party Complaint (Jan. 31, 2024). In that matter, SM Line Corp. alleged, as does OOCL here, that the filing of a complaint by SEA with the Commission constituted a violation of 46 U.S.C. § 41102(a). Your Honor noted that “...[N]o authority has been cited for the unlikely proposition that a complaint alleging a Shipping Act violation – one found to be meritorious, as it would have to be for SEA and third-party respondents to success [sic] in their alleged “scheme” – is itself a violation of § 41102(a).” OOCL does not rebut that holding, or even acknowledge it.

D. OOCL seeks “retroactive continuity” to dispute the application of the *Noerr-Pennington* Doctrine.

As noted by this tribunal in earlier proceedings in this matter:

the *Noerr-Pennington* doctrine stands for a generic rule of statutory construction, applicable to any statutory interpretation that could implicate the rights protected by the Petition Clause. Under the *Noerr-Pennington* rule of statutory construction, we must construe federal statutes so as to avoid burdening conduct that implicates the protections afforded by the Petition Clause unless the statute clearly provides otherwise.

Samsung Electronics America, Inc., v. Orient Overseas Container Line Limited and OOCL (Europe) Ltd., Dkt. No. 24-17, 2024 WL 4893409, at *15 (ALJ, Nov. 18, 2024).

OOCL argues that its Counterclaim is not based on SEA’s filing of its Amended Complaint itself, but rather SEA’s efforts to challenge what OOCL claims are its “contractual obligations.” OOCL Opp. at p. 12. Leaving aside that OOCL did not (and cannot) allege that SEA was a signatory or party to the alleged service contract or bills of lading, OOCL’s argument is directly contradicted by its Counterclaim, which alleges at ¶ 42:

... in bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has knowingly and willfully engaged in a unjust or unfair device or means to obtain or

attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act.

(Emphasis added).

The bringing of a Complaint to the Commission, as permitted by the Shipping Act and the Commission's regulations, is precisely the type of activity protected by the *Noerr-Pennington* doctrine. OOCL's attempt to misrepresent its own Counterclaim cannot avoid the necessary and unavoidable conclusion that its Counterclaim violates the *Noerr-Pennington* doctrine, and must be dismissed on that ground, as well as its utter lack of legal and factual basis.

E. The Ruling on SEA'S Motion should not be deferred.

OOCL begins its Opposition by requesting that a ruling on SEA's Motion to Dismiss its counterclaim be deferred until "any procedural issues raised by SEC have been resolved and that entity is before this tribunal." However, OOCL provides no supportable reason for doing so beyond a vague reference to "judicial economy" and "clarity."

With respect to OOCL, the pendency of frivolous, unsupported, and unlawful counterclaims detracts from both judicial economy and clarity, as do OOCL's efforts to ignore the separate legal identities of SEA and SEC and to confuse, presumably deliberately, the actions, responsibilities, and rights of those separate entities.

Judicial economy, clarity, and efficiency would best be served by dealing with separate legal entities separately on their own merits and focusing this case on the merits of the Amended Complaint without further delay. Indeed, a timely dismissal of OOCL's Counterclaim would help to expedite and streamline this proceeding by removing its specious Section 41102(a) allegations and permitting this case to move forward.

F. OOCL's Counterclaim should be dismissed with prejudice.

Finally, OOCL's Counterclaim should be dismissed with prejudice. SEA recognizes that leave to amend pleadings is routinely granted, *except* in cases of, *inter alia*, futility and bad faith. *See, e.g., Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC; et al*, 2014 WL 5824274, at *9 (ALJ, Nov. 6, 2014) ("When a complaint is dismissed for failure to state a claim, leave to amend need not be given if amendment would be futile."); *Leonelli v. Pennwalt Corp.*, 887 F.2d 1195, 1198 (2d Cir. 1989) (leave to amend "will be denied when an amendment is offered in bad faith, would cause undue delay or prejudice, or would be futile").

Here, OOCL's Counterclaim makes plain that OOCL cannot state any cognizable basis for a claim under Section 41102(a). The deficiencies of OOCL's Counterclaim are not merely inartful drafting, but an improper basis in violation of the *Noerr-Pennington* doctrine and a lack of any actual factual or legal basis. Stripped of its redundancies and irrelevancies, the Counterclaim is merely OOCL's argument that its practice of demanding demurrage and detention from the consignee of a store-door shipment for delayed deliveries is permitted by its service agreement and any subsequent legal challenge to that practice is unlawful. That is not a viable counterclaim.

Accordingly, OOCL's Counterclaim should be dismissed with prejudice. *See, e.g., Cuoco v. Moritsugu*, 222 F.3d 99, 112 (2d Cir. 2000) ("The problem with [plaintiff's] cause[] of action is substantive; better pleading will not cure it. Repleading would thus be futile. Such a futile request to replead should be denied.").

CONCLUSION

For the reasons set forth in the Motion and above, Complainant SEA respectfully requests an Order dismissing with prejudice OOCL's Counterclaim in its entirety and striking Respondents' prayers for a cease-and-desist order and request for attorney fees; and SEA further

requests that the Order grant SEA its attorneys' fees in connection with this Motion to Dismiss;
and grant all such other and further relief as may be just and proper.

Dated: January 28, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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